

Neutral Citation No. - 2025:AHC:113589-DB

Court No. - 39

Case :- WRIT - C No. - 16861 of 2025

Petitioner :- Satyam Shukla

Respondent :- State Of U.P. And 3 Others

Counsel for Petitioner :- Santosh Kumar Singh

Counsel for Respondent :- C.S.C., Sushil Kumar Pandey

Hon'ble Arindam Sinha, J.

Hon'ble Dr. Yogendra Kumar Srivastava, J.

(Per: Arindam Sinha, J.)

1. Mr. Santosh Kumar Singh, learned advocate appears on behalf of petitioner and submits, under challenge is assessment order dated 27th July, 2024 passed by respondent no.3 (the Executive Engineer). He clarifies, the order is of provisional assessment. He submits, the short point is that said respondent could not have passed the order as the authority had not made the inspection. He relies on judgment of the Supreme Court in **Executive Engineer Vs. M/s Sri Seetaram Rice Mill** reported in **(2012) 2 SCC 108**. Paragraph-23 of the judgment (Supreme Today print) is reproduced below.

"23. Having dealt with the principle of interpretation of these provisions and the distinction between Sections 126 and 135 of the 2003 Act, we shall now discuss the ambit and scope of Section 126. The provisions of Section 126 contemplate the following steps to be taken:

(i) An assessing officer is to conduct inspection of a place or premises and the equipments, gadgets, machines, devices found connected or used in such place.

(ii) The formation of a conclusion that such person has indulged in unauthorized use of electricity. -1(c) The ambit and scope of Section 126 with reference to the constructions of the words 'unauthorized use' and means'

(iii) The assessing officer to provisionally assess, to the best of his judgment, the electricity charges payable by such person.

(iv) The order of provisional assessment to be served upon the person concerned in the manner prescribed, giving him an opportunity to file objections, if any, against the provisional assessment.

(v) The assessing officer has to afford a reasonable opportunity of being heard to such person and pass a final order of assessment within 30 days from the date of service of such order of provisional assessment.

(vi) The person, upon whom the provisional order of assessment is served, is at liberty to pay the said amount within seven days of the

receipt of such order and where he files such objections, final order of assessment shall be passed, against which such person has a right of appeal under Section 127 of the 2003 Act within the prescribed period of limitation."

(emphasis supplied)

2. Dr. Devendra Kumar Tiwari, learned advocate, Additional Chief Standing Counsel appears on behalf of State. Mr. Sushil Kumar Pandey, learned advocate appears on behalf of respondent nos.2 to 4 (the supply company). He submits, inspections assessments are made by the Assistant Engineer and based on the report, the assessments are made by the Executive Engineer, who is the assessing officer. This was done in petitioner's case.

3. Before us petitioner has challenged the provisional assessment order. On query we are told, petitioner has not filed objection and final assessment order not yet passed.

4. **M/s Sri Seetaram Rice Mill** (supra) is law declared by the Supreme Court. We are bound thereby. Contention of the supply company that procedure followed is inspection by the Assistant Engineer and assessment orders following are made by the Executive Engineer, who is assessing officer, cannot be acted upon in teeth of clauses (i) and (iii) under paragraph-23 (Supreme Today print) of the judgment. The declaration is clear, *inter alia*, on the assessing officer to conduct inspection and to provisionally assess. Thus, the provisional assessment also suffers jurisdictional error inasmuch as it was made by the Executive Engineer, while the Assistant Engineer had inspected. The inspection report dated 2nd July, 2024 and impugned provisional assessment order dated 27th July, 2024 are respectively at pages-22 and 26.

5. Impugned provisional assessment order dated 27th July, 2024 is set aside. It is set aside because the assessing officer made it on basis of inspection report by the Junior Engineer, as opposed to an error apparent on face of the provisional assessment order requiring its restoration. As such the supply company may take such action as may be advised, in accordance with law.

6. The writ petition is **allowed** and **disposed of**.

(Per: Dr. Yogendra Kumar Srivastava, J.)

1. While concurring with the view taken by my esteemed brother (Hon'ble Arindam Sinha, J.), that the order impugned is required to be set aside, I deem it appropriate to express my opinion separately.
2. The present petition seeks to challenge an order of provisional assessment dated 27th July, 2024 passed by respondent no.3. The impugned order, which is on record, indicates that consequent to an F.I.R. for theft of electricity registered under Section 135 of the Electricity Act, 2003¹, a checking report dated 2nd July, 2024 had been submitted, and based upon the same, the assessing officer had passed an order of provisional assessment. The said order is stated to have been passed exercising powers under Clause 6.8/8.1 of the U.P. Electricity Supply Code, 2005².
3. Sri Santosh Kumar Singh, learned counsel for the petitioner has sought to challenge the order by contending that since the Executive Engineer, who is the assessing officer did not make the inspection of the premises himself, and the same was done by the Junior Engineer, the order of provisional assessment is invalid. To support his submission, learned counsel for the petitioner places reliance upon the decision of the Supreme Court in **Executive Engineer Vs. M/s Sri Seetaram Rice Mill**³.
4. Sri Devendra Kumar Tiwari, learned Additional Chief Standing Counsel has appeared for the State respondents.
5. Sri Sushil Kumar Pandey, learned counsel who appears on behalf of respondent nos.2 to 4, does not dispute the fact that the inspection of the premises was made by the Junior Engineer. He however, submits that the order of provisional assessment having been made by the Executive Engineer, who is the assessing officer, the said order cannot be said to be bad in law.
6. The Supreme Court in the case of **M/s Sri Seetaram Rice Mill** (supra),

1 2003 Act

2 Code 2005

3 (2012) 2 SCC 108

while examining the ambit and scope of powers of assessment under Section 126 of the 2003 Act, observed that the provisions of Section 126, read with Section 127 of 2003 Act, are a code in themselves and that the purpose of Section 126 is to put restriction on unauthorized consumption of electricity. The observations made in the judgment in this regard are as follows:

“16. First and foremost, we have to examine how provisions like Section 126 of the 2003 Act should be construed. From the objects and reasons stated by us in the beginning of this judgment, it is clear that ‘revenue focus’ was one of the principal considerations that weighed with the Legislature while enacting this law. The regulatory regime under the 2003 Act empowers the Commission to frame the tariff, which shall be the very basis for raising a demand upon a consumer, depending upon the category to which such consumer belongs and the purpose for which the power is sanctioned to such consumer. ...

18. ... The provisions of Section 126, read with Section 127 of the 2003 Act, in fact, becomes a code in themselves. Right from the initiation of the proceedings by conducting an inspection, to the right to file an appeal before the appellate authority, all matters are squarely covered under these provisions. It specifically provides the method of computation of the amount that a consumer would be liable to pay for excessive consumption of the electricity and for the manner of conducting assessment proceedings. In other words, Section 126 of the 2003 Act has a purpose to achieve, i.e., to put an implied restriction on such unauthorized consumption of electricity.

19. The provisions of the 2003 Act, applicable regulations and the Agreement executed between the parties at the time of sanction of the load prohibit consumption of electricity in excess of maximum sanctioned/ installed load. In the event of default, it also provides for the consequences that a consumer is likely to face. It embodies complete process for assessment, determination and passing of a demand order. This defined legislative purpose cannot be permitted to be frustrated by interpreting a provision in a manner not intended in law. This Court would have to apply the principle of purposive interpretation in preference to textual interpretation of the provisions of Section 126 of the 2003 Act.”

7. It was further stated as follows:

36. ... The provisions of Section 126 contemplate the following steps to be taken :

- (i) An assessing officer is to conduct inspection of a place or premises and the equipments, gadgets, machines, devices found connected or used in such place.
- (ii) The formation of a conclusion that such person has indulged in unauthorized use of electricity.
- (iii) The assessing officer to provisionally assess, to the best of his judgment, the electricity charges payable by such person.

(iv) The order of provisional assessment to be served upon the person concerned in the manner prescribed, giving him an opportunity to file objections, if any, against the provisional assessment.

(v) The assessing officer has to afford a reasonable opportunity of being heard to such person and pass a final order of assessment within 30 days from the date of service of such order of provisional assessment.

(vi) The person, upon whom the provisional order of assessment is served, is at liberty to pay the said amount within seven days of the receipt of such order and where he files such objections, final order of assessment shall be passed, against which such person has a right of appeal under Section 127 of the 2003 Act within the prescribed period of limitation.”

8. The aforesaid observations indicate that the assessment proceedings are to commence with the inspection of the premises by an assessing officer resulting in formation of a conclusion that there has been an unauthorized use of electricity, and thereafter assessing officer is to provisionally assess, to the best of his judgment, the electricity charges payable by such consumer as well as to pass a provisional order under Section 126 (2) of the 2003 Act. The officer is also obliged to serve a notice in terms of Section 126 (3) upon any such consumer, requiring him to file his objection, if any, against the provisional assessment before final order of assessment is passed within thirty days from the date of such order of provisional assessment. The person served with the order of provisional assessment may accept such assessment and deposit the amount with the officer within seven days of service of such provisional assessment order upon him, or prefer an appeal against final assessment under Section 127 of the 2003 Act.

9. The order of provisional assessment, in the present case, having been passed by the Executive Engineer, based on inspection report of the Junior Engineer, the contention of the petitioner seeking to assail its validity, cannot be said to be without basis.

10. The question with regard to the maintainability and scope of interference in a writ petition under Article 226 of the Constitution despite availability of an alternative remedy under Section 127 of 2003 Act, was also examined in the case of **M/s Sri Seetaram Rice Mill** (supra), and it was held that availability of

alternative remedy although not absolute bar to exercise of writ jurisdiction, the High Court would exercise this jurisdiction with circumspection in exceptional cases depending upon the facts and circumstances of the case. The observations made in this regard are as follows:

“78. Once the order of assessment is finally passed and is served upon the consumer, he is expected to pay the said charges unless, being aggrieved from such an order, he prefers an appeal under Section 127 of the 2003 Act. The appeal under Section 127 would lie only against the final order passed under Section 126 that too within 30 days of the said order. The appeal shall be filed, maintained and dealt with in accordance with the procedure specified in Section 127 of the 2003 Act. A bare reading of the provisions of Section 127 shows that it is the final order made under Section 126 which is appealable under Section 127 of the 2003 Act. In other words, issuance of a notice or a provisional order of assessment as may be made by the assessing officer in terms of sub-section (1) to sub-section (3) of Section 126 of the 2003 Act would not be the order against which an appeal would lie.

79. It may be noticed that admittedly the present respondent had not preferred any appeal against the provisional order of assessment dated 25th July, 2009 and, in fact, had preferred a writ petition against the very issuance of a notice issued in terms of Sub-sections (2) and (3) of Section 126 of the 2003 Act. This brings us to the question as to what is the scope of jurisdiction under Article 226 of the Constitution of India in the face of the provisions of Section 127 of the 2003 Act.

80. It is a settled canon of law that the High Court would not normally interfere in exercise of its jurisdiction under Article 226 of the Constitution of India where statutory alternative remedy is available. It is equally settled that this canon of law is not free of exceptions. The courts, including this Court, have taken the view that the statutory remedy, if provided under a specific law, would impliedly oust the jurisdiction of the Civil Courts. The High Court in exercise of its extraordinary jurisdiction under Article 226 of the Constitution of India can entertain writ or appropriate proceedings despite availability of an alternative remedy. This jurisdiction, the High Court would exercise with some circumspection in exceptional cases, particularly, where the cases involve a pure question of law or vires of an Act are challenged. This class of cases we are mentioning by way of illustration and should not be understood to be an exhaustive exposition of law which, in our opinion, is neither practical nor possible to state with precision. The availability of alternative statutory or other remedy by itself may not operate as an absolute bar for exercise of jurisdiction by the Courts. It will normally depend upon the facts and circumstances of a given case. The further question that would inevitably come up for consideration before the Court even in such cases would be as to what extent the jurisdiction has to be exercised.

81. Should the Courts determine on merits of the case or should it preferably answer the preliminary issue or jurisdictional issue arising in the facts of the case and remit the matter for consideration on merits by the competent authority? Again, it is somewhat difficult to state

with absolute clarity any principle governing such exercise of jurisdiction. It always will depend upon the facts of a given case. We are of the considered view that interest of administration of justice shall be better sub-served if the cases of the present kind are heard by the courts only where it involves primary questions of jurisdiction or the matters which goes to the very root of jurisdiction and where the authorities have acted beyond the provisions of the Act. However, it should only be for the specialized Tribunal or the appellate authorities to examine the merits of assessment or even factual matrix of the case.”

11. In the case of **M/s Sri Seetaram Rice Mill** (supra), the consumer did not file objection/reply to the provisional assessment, but challenged the same before the High Court by filing a writ petition on grounds of lack of authority and jurisdiction on the part of Executive Engineer to frame the provisional assessment by alleging unauthorized use of electricity.

12. The Supreme Court, while answering the question of maintainability of the writ petition, held that the High Court did not fall in error of jurisdiction in entertaining the writ petition, but certainly failed to finally exercise the jurisdiction within the prescribed limitations of law for exercise of such jurisdiction. It was observed that it would have been proper exercise of jurisdiction, if the High Court, upon entertaining and deciding the writ petition on a jurisdictional issue, would have remanded the matter to the competent authority for its adjudication on merits and in accordance with law. It was stated as follows:

86. In the present case, the High Court did not fall in error of jurisdiction in entertaining the writ petition but certainly failed to finally exercise the jurisdiction within the prescribed limitations of law for exercise of such jurisdiction. Keeping in view the functions and expertise of the specialized body constituted under the Act including the assessing officer, it would have been proper exercise of jurisdiction, if the High Court, upon entertaining and deciding the writ petition on a jurisdictional issue, would have remanded the matter to the competent authority for its adjudication on merits and in accordance with law. In the facts of the present case, the High Court should have answered the question of law relating to lack of jurisdiction and exercise of jurisdiction in futility without travelling into and determining the validity of the demand which squarely fell within the domain of the specialized authority. The High Court should have remanded the case to the assessing officer with a direction to the respondent to file its objections including non-applicability of the tariff before the assessing authority and for determination in accordance with law.”

13. The observations made in this regard in the judgment of **M/s Sri**

Seetaram Rice Mill (supra), in its concluding paragraphs, may also be gainfully reproduced:

87. Having dealt with and answered determinatively the questions framed in the judgment, we consider it necessary to precisely record the conclusions of our judgment which are as follows:-

... ..

5. The High Court did not commit any error of jurisdiction in entertaining the writ petition against the order raising a jurisdictional challenge to the notice/provisional assessment order dated 25th July, 2009. However, the High Court transgressed its jurisdictional limitations while travelling into the exclusive domain of the Assessing Officer relating to passing of an order of assessment and determining factual controversy of the case.

6. The High Court having dealt with the jurisdictional issue, the appropriate course of action would have been to remand the matter to the Assessing Authority by directing the consumer to file his objections, if any, as contemplated under Section 126(3) and require the Authority to pass a final order of assessment as contemplated under Section 126(5) of the 2003 Act in accordance with law.

88. For the reasons afore-recorded, the judgment of the High Court is set aside and the matter is remanded to the Assessing Officer to pass a final order of assessment expeditiously, after providing opportunity to the respondent herein to file objections, if any, to the provisional assessment order, as contemplated under Section 126(3) of the 2003 Act.”

14. The sole ground, which has been urged before us to challenge the order of provisional assessment, is that the said order passed by the assessing officer is based on an inspection report of some other authority. It is for the said reason that we have been persuaded to entertain the writ petition despite considerable delay and laches in raising the challenge to the provisional assessment order dated 27th July, 2024, and the entitlement of the consumer to file objections against the provisional assessment, and also of opportunity of availing hearing before a final order of assessment is made, which in turn, would be subject to a statutory remedy of appeal under Section 127 of the 2003 Act.

15. Counsel for the petitioner has not addressed us on the merits of the case apart from making his submissions on the point of procedural infirmity in the order of provisional assessment.

16. We may also record that we have not examined the case on its merits on

the sufficiency of the material available on record which formed the basis of the order of provisional assessment. That, in our view, would be within the domain of the assessing officer while exercising the statutory powers under Section 126 of 2003 Act.

17. The fact regarding lodging of the FIR for theft of electricity under Section 135 of 2003 Act is undisputed. It is also not disputed that it is after lodging of the aforesaid report that the proceedings for assessment for unauthorized use of electricity under Section 126 of 2003 Act have been initiated.

18. The provisions of Section 126, read with Section 127 of 2003 Act, have been held to be a complete code in matters relating to assessment in a case where there is an allegation of unauthorized use of electricity. From the stage of initiation of proceedings by conducting an inspection to determination and passing of a final order of assessment, it embodies a complete process.

19. The provisional assessment order has been passed by the Executive Engineer exercising powers of the assessing officer conferred under Section 126 of the 2003 Act. It is not the case of the petitioner that it suffers from any jurisdictional error; rather the order has been assailed on the ground of having been passed without following the correct process, resulting in a procedural error.

20. This Court having been persuaded to entertain the writ petition assailing the order of provisional assessment on the ground of procedural infirmity, would yet have to be mindful that it is only for the specialized authority to examine merits of assessment and the factual matrix of the case.

21. We may observe that, as a general principle, where an order is set aside due to procedural infirmities or non-adherence to statutory procedure, the Court exercising powers of judicial review, would require the matter to be remanded to the competent authority for proper adjudication. This would also be necessary to ensure that all legal requirements are met and justice is done to the

parties without any prejudice caused by infraction of any procedural requirement.

22. The impugned order of provisional assessment is, therefore, **set aside** on the ground that the same is not based on the inspection made by the assessing officer, and the matter is remanded to respondent no.3-assessing officer, to initiate proceedings for assessment under Section 126 of 2003 Act, afresh, in accordance with the procedure under law.

23. With the aforesaid observations, the writ petition is **disposed of**.

Order Date :- 15.7.2025

Arun K Singh/RKK/-

(Arindam Sinha, J.)

(Dr. Y. K. Srivastava, J.)